

INSTITUTE OF ACTUARIES OF INDIA

CP3 – Communication Practice

November 2024 Examination

INDICATIVE SOLUTION

Introduction

The indicative solution has been written by the Examiners with the aim of helping candidates. The solutions given are only indicative. It is realized that there could be other points as valid answers and examiner have given credit for any alternative approach or interpretation which they consider to be reasonable.

Solution 1:

Dear Participating Policyholder,

At the outset we would like to thank you for being an esteemed customer and helping us serve you over the years. We value the trust you have placed with the company for securing your protection and saving needs. Our motto has and will always be long term value creation for the customer.

Through this letter we would like to bring about awareness about how participating products work, considerations behind bonus computation and how participating products can create wealth over a long term. You may also be comparing this product with equity markets in terms of returns offered and question why they do not align with each other. We also intend to answer such queries through this letter.

How participating products work and general considerations while declaring bonus rates

1. Participating products are designed to offer Life cover along with consistent wealth creation over a long term.
2. The policyholders of participating products share the profits of the Company, i.e. while a part of the policy benefit is guaranteed at the outset there is a portion of the benefits which is declared in the form of bonuses which is the share of profits.
3. As only part of the benefit is guaranteed, the insurance company is able to take a long-term view of its investments. The Company invests the funds in asset classes such as Government and Corporate Bonds and more importantly equity with the expectation of a higher return in the long term.
4. Bonuses are commonly declared in the form of Reversionary Bonus which is declared annually and Terminal bonus declared for exiting policies e.g maturing policies. Bonuses once declared become part of Guaranteed benefits of the policy. The bonus rates of Participating products are generally declared as a % of Guaranteed Maturity Benefit under the product. The terminal bonus, which is paid out on maturity, also forms part of your overall benefit thereby increasing your overall return from the product.
5. The Company considers how it has performed for the year in terms of premiums received versus claims paid, expenses incurred, and the investment income earned in arriving at its bonus decision. One of the reasons why Company may want to defer some of the bonus to future is to stay invested in equity markets for longer tenure. Any higher return earned will be passed on by declaring a higher terminal bonus as opposed to a higher reversionary bonus.
6. Another consideration is consistency of bonus rates over the tenure of the policy.

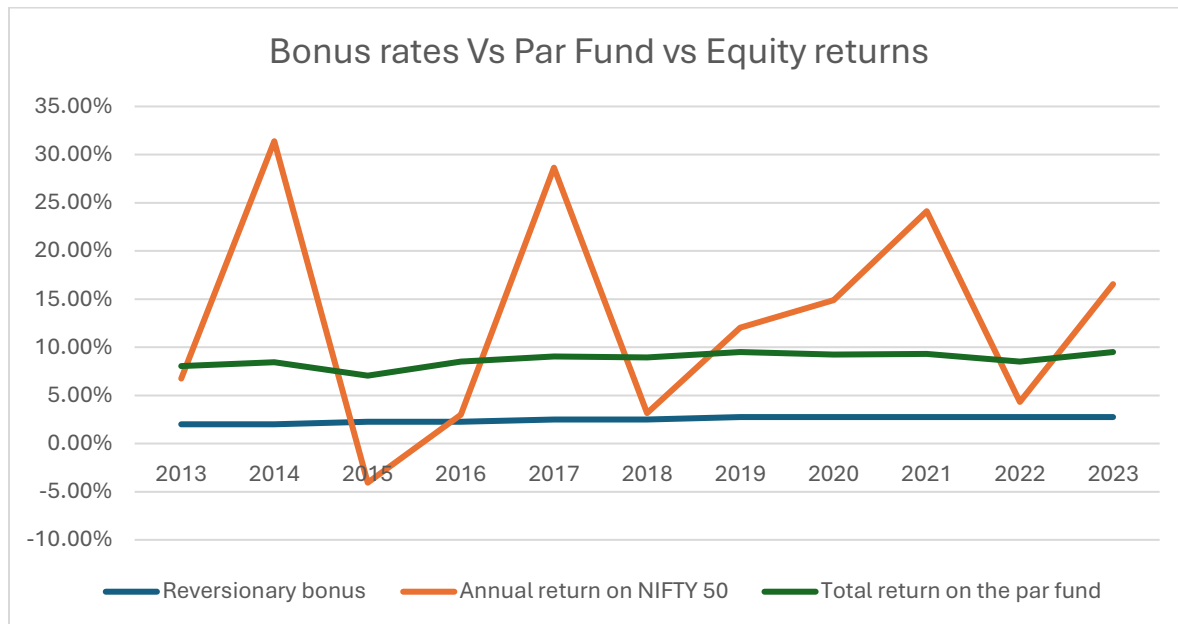
Reasons why bonus rates are not always consistent with equity returns

7. The last 3-4 years saw the life insurance industry go through a pandemic resulting in higher claim payments, reducing the profitability of the participating products. However, in line with Company's philosophy of consistency of bonus, the rates were not reduced. This was possible because of the cushion which comes from the years where the company's performance including investment income was better than expected.
8. Therefore, when there is an increase in investment income or Company's performance, the same may not necessarily result in higher bonus rates for that year. Some of this income is held for future payouts. Also, deferring some of the bonus for future also enables the Company to stay invested for a longer tenure.
9. Due consideration is also given to bonus rates offered by other life insurance companies in the market and our bonus rates have been consistent and one of the best in the industry.
10. As mentioned, the Company invests only a part of the funds in equity markets and hence not all the gains in equity markets can be directly accounted for in the bonus rate. The investment of

policyholder's funds is done with the intention of protecting and growing policyholder's money. The internal policies govern bonus rates, our investment philosophy and year-on-year change in bonus rates. This ensures that we take a long-term view on investments in conjunction with return expectations and bonus rates across years.

11. Below we have shown a graph of bonus declared, Total returns earned in participating product vs Nifty returns over the last 10 years, where it can be seen that Nifty returns can be quite volatile unlike bonus rates.

Graph showing bonus rates declared vs equity returns over the last 10 years



The overall return is used to meet the guaranteed portion of the benefits and the bonuses. The NIFTY 50 is quite volatile but the bonuses have been declared in such a way that they are smoother.

We hope this provides you with a fair idea on how bonuses are computed and how participating products create wealth over a long term. Should you have any further queries, we would be happy to address them and you can reach out to us on participatingpolicyholder@newlife.com.

Thanking you,
CEO
NewLife Insurance Company

[95]

Solution 2:

a.

1. The letter is being sent to the policyholders who may or may not have the required financial sophistication to understand how bonus rates are computed. To be able to cater to larger audience it was prudent to assume most of the policyholders don't know how participating products work
2. The letter is intended to give a general view of how Par products work in simple terms, which would make the policyholders understand and appreciate its working
3. Giving out too much information or technical information would lead to policyholders being unclear about it, and may in fact also lead to more ambiguity

4. The depth was decided basis the purpose of the letter, the audience and how best it could be communicated

[3]

- b. Technical information about how asset shares are used to compute bonus rates is filtered out as it would be too technical for policyholders to understand.

The details of how investments are made for Par products has been omitted. The crux of the letter was to drive the point of consistent returns to the policyholders irrespective of volatility in equity markets.

[2]

[5]
